

The housing market



Housing market trends are a weathervane of the economic cycle. During boom times, with the labour market buoyant, people feel more confident about the future and buy houses. With earnings growing, they believe they will be able to repay housing loans, and at the same time mortgage providers are keen to lend money – so house prices rise ever higher.

Conversely, when the economy falters, people lose confidence and housing demand falls, arresting the price rise. Problems in the housing market were at the root of the global economic crisis that began in 2007. In the United States in particular, economic growth and the housing boom were driven by a confidence that eventually turned out to be misplaced. Rising housing demand was met by ever more liberal lending – borrowers who could only afford to cover their interest payments were being offered loans on the expectation that

house prices would continue to rise. When the bubble burst, the housing market became the mainspring of the crisis.